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Term Insurance

What Is Term Insurance?

Term Insurance is a type of life insurance policy that provides financial protection to your loved ones in case term policy your untimely demise during the policy term. It is a pure protection plan that offers a substantial life cover at affordable premiums, ensuring your family's financial stability when they need it the most. Unlike traditional life insurance, term plans focus solely on providing life coverage without investment or savings components.

Why Should You Buy a Term Insurance Plan?



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covering daily household expenses, the payout from a term plan provides much-needed financial stability. This protection ensures your loved ones won't face undue financial hardship during difficult times.



Affordable Premiums:

Term insurance plans are one of the most cost-effective ways to secure high coverage. They offer significantly lower premiums compared to traditional life insurance policies such as endowment or whole life plans. This affordability means that even young professionals or those with tight budgets can enjoy robust financial protection without compromising other financial priorities. By purchasing a term plan early in life, you can lock in lower premium rates and save more in the long run.



Debt Protection:

In addition to securing your family's daily needs, term insurance plays a vital role in protecting them from financial liabilities. The payout can help clear outstanding loans such as a home loan, car loan, or personal debt, ensuring that your family isn't left burdened with repayments. This debt protection is particularly important for individuals with significant financial obligations, as it prevents creditors from placing additional stress on your loved ones.

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Critical Illness Coverage:

Modern term insurance plans often include optional add-ons, such as critical illness riders, that provide financial support during medical emergencies. These riders offer a lump-sum payout upon the diagnosis of critical illnesses such as cancer, heart disease, or kidney failure. This payout can help cover treatment costs, hospitalisation expenses, and other medical bills, easing the financial strain on your family during challenging times.



Tax Benefits*:

One of the significant advantages of term insurance is its tax efficiency. The premiums you pay are eligible for tax deductions under Section 80C of the Income Tax Act, 1961, up to the maximum limit. Additionally, the death benefit received by your nominee is generally exempt from taxes under Section 10(10D)**. These benefits make term insurance a dual-purpose solution, offering both financial protection and tax savings.



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By investing in a term insurance plan, you're taking a proactive step towards safeguarding your family's financial independence, even in uncertain times.

Who Should Buy Term Insurance?

A Term Insurance Plan is suitable for anyone who wants to secure their family's financial future. Here's who should consider buying one:



Sole Breadwinners:

If you are the primary income earner in your family, securing a term insurance plan is essential. Your income supports household expenses, children's education, and even long-term goals like buying a home or planning for retirement. In your absence, the payout from the term life insurance plans acts as a financial lifeline for your family, helping them maintain their standard of living and fulfil their dreams without falling into financial distress.



Young Professionals:

For young professionals just starting their careers, buying a term insurance plan early is a smart move. Early investment allows you to secure higher coverage at significantly lower premiums due to your age and relatively better health. It also helps build a strong financial foundation, ensuring that your family is protected right from the start of your professional journey. Moreover, starting early means you can enjoy long-term financial security while focusing on building wealth.



Parents:

Parents often carry the responsibility of securing their children's future. A term insurance plan ensures that your children's education, extracurricular activities, and other life goals remain unaffected by financial constraints, even in your absence. The policy payout can also support long-term aspirations, such as higher education abroad or funding their entrepreneurial ventures, providing peace of mind that their dreams won't be compromised.



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Stay-at-Home Spouses:

While stay-at-home spouses may not contribute an income, their role is invaluable in managing the household and supporting the family. A term insurance plan for homemakers can provide financial security in case of their demise, covering additional support expenses such as childcare, domestic help, or other essential services. It ensures the family can maintain stability and continuity during a difficult time.



Business Owners:

For entrepreneurs and business owners, a term insurance plan offers dual protection. It ensures that any business-related debts or liabilities are cleared, safeguarding your family from financial repercussions. Additionally, it protects your business partners by providing the necessary funds to maintain business operations or buy out your share, ensuring the continuity of your business even in your absence.

In essence, term insurance is for anyone who values financial security and wants to leave behind a legacy of stability for their loved ones. Whether you're a sole breadwinner, a young professional, a parent, or a business owner, a term insurance plan provides a safety net that ensures your family's future remains secure even when life takes an unexpected turn.

Term Insurance Plans

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How Does a Term Plan Work?

Term Insurance works on a simple and straightforward principle of financial protection. Here's how it functions:



Choose the Plan :

The first step in purchasing the best term life insurance is selecting a policy that aligns with your financial needs and long-term goals. You decide on the coverage amount, also known as the sum assured, which should be sufficient to meet your family's expenses, including daily needs, outstanding debts, and future aspirations. You also choose the



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or even as a single lump sum payment, depending on your preference. Premium amounts depend on factors like your age, health, sum assured, policy term, and any additional riders you select. Paying premiums on time is crucial to ensure that your coverage remains active and your loved ones are protected.



Coverage Period :

The coverage period is the duration during which the insurer provides financial protection. If you pass away during this policy term, your nominee becomes eligible to receive the sum assured as a death benefit. This payout helps your family meet financial obligations, maintain their standard of living, and achieve long-term goals, even in your absence.



Death Benefit Payout :

The death benefit, also called the sum assured, is paid to your nominee as per the payout option you selected while purchasing the policy. You can opt for:

- **Lump Sum:** The entire sum assured is paid as a one-time amount, offering immediate financial support.
- **Monthly Income:** The payout is distributed as regular monthly income, ensuring a steady flow of funds for ongoing expenses.
- **Combination:** Part of the sum assured is paid as a lump sum, and the rest is distributed as monthly income, balancing immediate and long-term needs.

This flexibility ensures that your family's financial requirements are met effectively, based on their specific situation.



No Maturity Benefit :

Unlike other life insurance plans, term insurance does not offer a maturity benefit if you survive the policy term. However, some plans provide an optional Return of Premium (ROP) feature, where all the premiums you paid are refunded at the end of the policy term. While this feature adds to the premium cost, it appeals to those who want some returns on their investment if no claims are made during the policy term.



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Term insurance combines affordability, flexibility, and comprehensive protection, making it a reliable choice for securing your family's financial future. By understanding its features, you can select a plan that best fits your needs and provides peace of mind for you and your loved ones. Some of the features of term insurance policies are:



High Sum Assured at Low Cost:

Term insurance plans are known for providing substantial life coverage at a minimal cost. This affordability makes them an ideal choice for individuals seeking financial protection without stretching their budget. For example, with a nominal premium, you can secure a sum assured that is 10-20 times your annual income, ensuring your family's financial needs are met in your absence. This cost-effective nature makes term plans accessible to a wide audience, including young professionals and families.



Flexible Policy Terms:

Term insurance offers the flexibility to choose a policy term that suits your financial goals and responsibilities. You can opt for coverage ranging from 10 to 40 years or select a policy that extends until a specific age, such as 60, 70, or even 80 years. This flexibility allows you to align your insurance coverage with key milestones like paying off a home loan, funding your child's education, or ensuring retirement security for your spouse.



Customisable Add-Ons (Riders):

Enhancing your term insurance policy with riders allows you to create a comprehensive protection plan tailored to your specific needs. Riders such as critical illness cover provide financial support during severe medical conditions, while an accidental death benefit ensures additional payout in case of accidental demise. The waiver of premium rider continues your policy coverage without requiring premium payments in case of disability or critical illness. With options like income benefit riders, you can ensure a steady monthly income for your family, offering them added financial stability.



Tax Advantages:

Term insurance policies come with significant tax benefits. The premiums you pay are eligible for deductions under Section 80C of the Income Tax Act, 1961, allowing you to save on your taxable income. Additionally, the death benefit received by your nominee is



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- **Lump Sum:** A one-time payout to address immediate financial obligations such as clearing debts, paying medical bills, or funding major expenses.
- **Monthly Income:** A regular income stream to cover ongoing household expenses and maintain your family's standard of living.
- **Combination of Both:** A mix of lump sum and regular income, providing immediate funds while ensuring long-term financial stability. This flexibility helps customise the financial support your family receives, based on their requirements.



No Savings Component:

Unlike traditional life insurance plans, term insurance focuses purely on protection without a savings or investment component. This simplicity ensures that the entire premium goes towards providing life cover, making it more affordable and straightforward. For those who prioritise cost-effective financial protection over wealth creation, term insurance is the ideal choice.



Coverage for Critical Illness:

Many term insurance plans now include inbuilt or optional coverage for critical illnesses. This feature provides a lump-sum payout upon the diagnosis of specified illnesses like cancer, heart attack, or kidney failure. The payout helps cover treatment costs, manage household expenses during recovery, or replace lost income, ensuring you and your family are financially secure during health crises.



Conversion and Renewal Options:

Certain term insurance policies offer conversion options, allowing you to switch your term plan into another type of policy, such as a whole life plan or endowment plan, based on your evolving needs. Additionally, some policies provide renewal options, enabling you to extend coverage at the end of the term. These features offer added flexibility, ensuring your policy remains relevant to your changing life stages and goals.



No Medical Check-Ups for Specific Policies:

For individuals concerned about undergoing extensive medical tests, some term insurance plans offer coverage without requiring medical check-ups. These policies are



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supported in case of an unforeseen event.

These features ensure that a term insurance policy provides the financial protection and flexibility needed to secure your family's future against uncertainties.

How Does a Term Plan Secure Your Family's Financial Future?

A term insurance plan ensures your family's financial well-being in your absence. Here's how:

- **Covers Liabilities:** Pays off significant debts like home loans, business loans, or personal loans, ensuring your family isn't burdened with repayments.
- **Education Security:** Funds children's education, allowing them to pursue their aspirations without financial obstacles.
- **Maintains Lifestyle:** Provides a lump sum or regular income to maintain your family's standard of living, even in your absence.
- **Legacy Planning:** Enables you to leave behind a financial legacy for your loved ones, ensuring their long-term security.
- **Tax Benefits*:** Offers savings through deductions under Section 80C and tax-free payouts under Section 10(10D)**, making it a tax-efficient financial tool.

This comprehensive coverage makes term life insurance an indispensable part of financial planning for individuals across all life stages.

Benefits of Buying Term Insurance from ABSLI

Choosing a term insurance plan from Aditya Birla Sun Life Insurance (ABSLI) offers unique advantages that ensure comprehensive coverage and peace of mind:



High Coverage at Affordable Premiums :

Aditya Birla Sun Life Insurance (ABSLI) stands out by offering extensive life insurance coverage at competitive premiums. This means you can secure a high sum assured for your family without putting undue pressure on your budget. The affordable premiums



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health conditions, accidental death benefit to provide additional coverage in case of accidental demise, or waiver of premium to ensure the policy continues without premium payments in case of disability. These features allow you to tailor the plan to suit your specific lifestyle, financial responsibilities, and future goals.



Flexible Premium Payment Options :

Flexibility is a key feature of ABSLI term insurance plans. You can choose from multiple premium payment modes, such as monthly, quarterly, half-yearly, yearly, or even a one-time single premium payment. This flexibility ensures that the payment schedule aligns with your financial situation, making it convenient to keep your policy active without disrupting your cash flow.



Multiple Death Benefit Payout Options :

ABSLI provides flexibility in how the death benefit is paid to your nominee. You can choose from options such as:

- **Lump Sum:** A one-time payout to address immediate financial needs, such as paying off debts or funding major expenses.
- **Regular Income:** A steady income stream to cover day-to-day expenses, providing financial stability over time.
- **Combination:** A blend of lump sum and regular income to strike a balance between immediate and ongoing financial support. These options ensure your family's financial needs are met in the most suitable manner, giving them the security they need during challenging times.



Critical Illness Coverage :

Health emergencies can have a significant financial impact. ABSLI term plans allow you to include critical illness riders, which provide a lump-sum payout upon diagnosis of specified life-threatening illnesses like cancer, heart attack, or kidney failure. This benefit helps cover medical expenses, treatment costs, and even lost income during recovery, offering you and your family financial relief during difficult times.



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Trusted Brand Assurance :

As a trusted name in the insurance industry, ABSLI brings decades of expertise and a customer-first approach to its offerings. Their transparent policies, prompt claim settlements, and dedicated customer support ensure reliability and peace of mind. Choosing ABSLI means partnering with a brand that prioritises your family's financial security.



Digital Ease :

ABSLI makes the insurance process seamless with its digital-first approach. From comparing plans and applying for policies to paying premiums and filing claims, every step can be completed online. This convenience saves time and effort, allowing you to manage your insurance needs from the comfort of your home.

With ABSLI, you're not just buying a term insurance plan; you're investing in your family's financial security with a trusted partner. The combination of affordability, customisation, and ease of access makes ABSLI term insurance plans a comprehensive solution for modern financial protection.

Which Factors Affect Term Insurance Premiums?

The cost of your term life insurance is influenced by several factors. Here's an in-depth look at the key elements:

Age

- Younger Policyholders: Younger individuals enjoy significantly lower premiums since they pose a lower risk to insurers.
- Example: A 25-year-old pays much less than a 40-year-old for the same coverage, making it ideal to buy a policy early in life.

Health and Medical History

- Healthy Individuals: Those with no pre-existing conditions qualify for lower premiums. Regular health check-ups and a healthy lifestyle can further reduce premium costs.



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- Higher Coverage: A higher sum assured means increased premiums but offers comprehensive financial security.
- Example: A ₹5 crore policy costs more than a ₹1 crore policy but provides superior protection for your family's future.

Lifestyle Habits

- Risky Behaviours: Smokers, heavy drinkers, or individuals engaged in high-risk activities like adventure sports pay higher premiums due to increased risk.

Gender

- Women Benefit: Women often enjoy lower premiums due to longer life expectancy and lower risk profiles.

Occupation

- High-Risk Professions: Jobs like mining, construction, or aviation attract higher premiums due to occupational hazards.

Sample Premium Rates

Here's an example of premium rates for a 30-year-old policyholder:

1. Non-Smoker:

- ₹1 crore sum assured for 30 years: ₹10,000–₹12,000 annually.
- ₹3 crore sum assured for 30 years: ₹22,000–₹25,000 annually.
- ₹5 crore sum assured for 30 years: ₹30,000–₹40,000 annually.

2. Smoker:

- ₹1 crore sum assured for 30 years: ₹18,000–₹20,000 annually.
- ₹3 crore sum assured for 30 years: ₹35,000–₹40,000 annually.
- ₹5 crore sum assured for 30 years: ₹55,000–₹60,000 annually.

These rates may vary based on the insurer, rider options, and policyholder's profile. Comparing plans can help you choose the best term insurance in India.

Examples Based on the Life Stages of Policyholders



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Rajesh (Age 45)

Rajesh, a business owner, chooses a ₹5 crore term plan to cover his home loan and protect his family's lifestyle while addressing his business liabilities. This strategy ensures a secure financial future for his dependents.

Why choose ABSLI Term life insurance plan?

Choosing a term life insurance plan from Aditya Birla Sun Life Insurance (ABSLI) offers several compelling benefits that ensure comprehensive financial protection for your loved ones:



Diverse Plan Options:

ABSLI offers a range of term insurance plans tailored to meet the unique needs of individuals and families. For example, the ABSLI DigiShield Plan provides flexible coverage options, allowing you to choose the ideal policy that aligns with your financial goals and lifestyle. These diverse offerings cater to various scenarios, ensuring that whether you're a young professional, a parent, or a business owner, there's a plan that fits your requirements perfectly.



High Coverage at Affordable Premiums:

One of the standout benefits of ABSLI term insurance plans is their ability to provide substantial life cover at competitive premiums. You can secure financial stability for your family without straining your budget, making these plans accessible to individuals across different income levels. By opting for ABSLI, you ensure maximum protection at a cost-effective rate, offering peace of mind and value for money.



Flexible Payout Options:

ABSLI understands that every family's financial needs are different, which is why it offers multiple payout options:

- Lump-Sum Payment: Ideal for covering immediate expenses like clearing debts or funding major life goals.
- Staggered Payments with Fixed Annual Income: Provides a steady income stream, ensuring your family's daily needs are met over time.



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layer of financial protection. These include:

- **Accidental Death and Disability Rider:** Offers additional benefits in case of accidental death or permanent disability.
- **Critical Illness Rider:** Provides a lump-sum payout upon diagnosis of specified critical illnesses like cancer or heart attack.
- **Surgical Care and Hospital Care Riders:** Cover hospitalisation and surgical expenses, reducing the financial burden during medical emergencies. These riders ensure that your policy is robust, addressing multiple risks and providing comprehensive coverage for life's uncertainties.



Joint Life Protection:

Certain ABSLI term plans offer the option of joint life coverage, allowing you to insure both yourself and your spouse under a single policy. This feature ensures comprehensive family protection, offering financial security to both partners and reducing the need for multiple policies. It's a convenient and cost-effective way to safeguard your family's future.



Return of Premium Option:

For individuals who prefer to combine protection with savings, ABSLI offers term plans with a return of premium (ROP) feature. If you outlive the policy term, the insurer refunds all the premiums you've paid. This option provides the dual benefit of financial protection during the policy term and savings at the end, making it an attractive choice for many policyholders.



Enhanced Life Stage Protection:

Life responsibilities evolve over time, and so should your insurance coverage. ABSLI term plans include the option for Enhanced Life Stage Protection, allowing you to increase your life cover at significant milestones like marriage or the birth of a child. This feature ensures that your policy grows with your responsibilities, providing adequate protection for your loved ones at every stage of life.



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These tax benefits make ABSLI term insurance a financially prudent choice, combining protection with significant tax savings.



By choosing an buy term life insurance plan from ABSLI, you ensure a robust financial safety net for your family, tailored to your specific needs and life stages. You can buy term insurance online or through offline means. So what are you waiting for? Get your term insurance quote and buy term plan online today!

Term Insurance Plan: Inclusions and Exclusions

By fully understanding the scope of coverage and exclusions, you can make an informed decision, ensuring that your term insurance plan offers the comprehensive financial protection your family deserves. Here's a breakdown:

Inclusions

- Death Benefit

The primary purpose of a term insurance plan is to provide a death benefit to the nominee in case of the policyholder's demise during the policy term. This payout ensures that your family has the financial resources to manage their expenses, repay loans, and achieve long-term goals like education or marriage. The sum assured can be received as a lump sum, monthly income, or a combination of both, based on the plan's payout options and your selection.

- Terminal Illness Benefit

Many term insurance plans include a terminal illness benefit, where the policyholder receives an early payout if diagnosed with a terminal condition. This benefit helps cover medical treatment expenses, ensuring the individual and their family are financially supported during such a challenging time. It also provides peace of mind by reducing the financial burden on loved ones.

- Optional Riders

Term insurance plans can be enhanced with optional riders that offer additional protection:

1. Accidental Death Benefit Rider: Provides an extra payout if the policyholder dies due to an accident.



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Term insurance policies offer significant tax benefits under the Income Tax Act, 1961:

1. Section 80C: Premiums paid are eligible for tax deductions up to ₹1.5 lakh annually.
2. Section 10(10D): The death benefit received by the nominee is generally tax-exempt.

These benefits make term insurance a financially efficient way to secure your family's future while reducing your taxable income.

Exclusions

- Suicide Clause

Most term insurance policies include a suicide clause, which states that if the policyholder commits suicide within the first year of the policy commencement, the insurer may not pay the full death benefit. In such cases, only the premiums paid may be refunded, depending on the policy terms.

- Death Due to Criminal Activities

If the policyholder's death occurs while engaging in illegal or criminal activities, such as theft or assault, the insurer typically denies the claim. This exclusion ensures that the policy is used ethically and responsibly.

- Death Under the Influence

Deaths resulting from incidents where the policyholder was under the influence of alcohol, drugs, or other intoxicating substances are generally excluded. This clause is included to discourage reckless behaviour and ensure responsible conduct.

- Participation in Hazardous Activities

If the policyholder's death occurs during high-risk activities like skydiving, bungee jumping, motor racing, or other adventurous pursuits, the claim may be denied unless these activities were disclosed at the time of policy purchase and explicitly covered. This exclusion highlights the importance of declaring all high-risk hobbies or professions to avoid claim rejection.

5 Important Stages in Life to Buy Term Life Insurance

Purchasing term life insurance at key life stages ensures comprehensive financial protection for your family while adapting to evolving responsibilities. Let's explore these critical stages in detail:



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stay ahead of future liabilities. Starting young also allows you to opt for higher coverage at minimal costs.

2. Getting Married

Marriage brings shared financial responsibilities, making a term plan essential for:

- **Securing Your Spouse's Future:** Protect your spouse's financial stability in your absence. The sum assured can help them maintain their lifestyle without compromising on important goals.
- **Covering Joint Liabilities:** Joint liabilities like home or personal loans can be managed without burdening the surviving partner. This ensures financial peace of mind for both partners.
- **Long-Term Financial Planning:** Align the policy with shared goals such as buying a house or planning for children. A term life insurance plan becomes a cornerstone of your long-term financial strategy.

3. Becoming a Parent

Parenthood introduces the need to protect your child's future, making a term life insurance plan critical.

- **Educational Security:** Ensure funds for your child's education, extracurricular activities, and overall upbringing. This safeguards their aspirations, even in your absence.
- **Future Protection:** Cover future expenses like higher education or overseas studies, shielding your family from financial stress. The best term insurance plans offer flexibility to customise coverage as your child's needs grow.
- **Enhanced Coverage Options:** With additional riders, you can address specific needs such as critical illness or disability coverage. This adds an extra layer of financial security for your family.

4. Buying a Home or Taking a Loan

Major financial commitments like home loans or business investments demand adequate financial protection.

- **Debt Coverage:** A term insurance plan ensures that your family isn't left with the burden of repaying debts in your absence. It provides a financial cushion during challenging times.
- **Sufficient Sum Assured:** Ensure the sum assured matches or exceeds your total liabilities to guarantee complete coverage. For example, if you have a home loan of ₹50 lakhs, your term plan should cover at least this amount.



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Legacy Planning: Ensure your family remains financially stable even after your retirement. A term life insurance plan can also be part of your estate planning strategy, creating a legacy for your loved ones.

How Long Should Your Term Life Insurance Be?

The duration of your term life insurance should align with your long-term financial goals and responsibilities. Here's how to decide:

1. Match Your Liabilities

- **Loan Coverage:** Ensure your term extends until major financial responsibilities, like home loans or children's education, are fulfilled. This ensures your family is protected from unexpected financial burdens.
- **Example:** If your home loan is for 20 years, choose a term of at least 20 years to cover the repayment period. Selecting the best term insurance plan ensures you are adequately protected during this time.

2. Cover Your Working Years

- **Income Replacement:** A term policy should ideally last until your planned retirement age, typically 60–65 years. This provides a financial safety net throughout your earning years, ensuring income replacement for your family.

3. Account for Dependents' Needs

- **Milestone Coverage:** If you have young children, select a policy term that covers their education and milestones until they become financially independent. For instance, a term plan lasting 25 years may cover your child's higher education and marriage expenses.

4. Consider Future Inflation

- **Inflation Protection:** Choose a policy term that accounts for rising costs over time, ensuring your family's financial stability. Opting for a higher sum assured within the best term insurance in India can help combat inflation.

How does term insurance differ from whole life insurance?

The main differences between term insurance and whole life insurance are:



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Cash value	No cash value accumulation	Accumulates cash value over time
Investment Component	No investment component	Has an investment component, earning interest or dividends
Policy Duration	Expires at the end of the term	Does not expire, as long as premiums are paid
Renewability	Can be renewed or converted to permanent insurance at the end of the term	Not applicable, as coverage is for life
Premium Flexibility	Fixed premiums for the term	Premiums may be adjustable in some policies
Policy Loans	Not available	Available, borrowing against the cash value
Suitability	Ideal for temporary or specific financial protection needs	Suitable for long-term financial planning, including estate planning

Why Reading the Policy Document is Crucial

It is essential to carefully read the policy document to understand all inclusions and exclusions. Each term insurance plan has specific terms and conditions that may vary between insurers. Being aware of these details ensures there are no surprises during the claim process and helps you select a policy that aligns with your lifestyle and needs.

What is a Term Insurance Rider?

A Term Insurance Rider is an additional benefit that you can add to your base term insurance policy to enhance its coverage. Riders allow you to customise your plan to meet specific needs and provide financial protection in unique circumstances. They come at an extra premium but offer significant value by covering risks beyond the basic life cover.

Common Types of Term Insurance Riders:

- **Accidental Death Benefit Rider:** Provides an additional payout if the policyholder dies due to an accident.



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Riders help you customise your term insurance to offer broader protection for yourself and your loved ones, ensuring a comprehensive financial safety net.

Why Choose a Higher Sum Assured for Better Family Protection

Choosing a higher sum assured is not just about securing a large payout; it's about safeguarding your family's future against uncertainties, ensuring they have the resources to thrive, and leaving a legacy of financial stability. By evaluating your family's needs and future goals, you can determine the right coverage amount to provide comprehensive protection and peace of mind. Using a term insurance calculator can help you understand the sum assured you need. Here's why a higher sum assured is preferred:

1. Covers Rising Living Costs:

With inflation steadily increasing the cost of living, a higher sum assured becomes crucial to maintaining your family's standard of living. Expenses such as groceries, utilities, education fees, and healthcare costs tend to rise year after year. By opting for a larger cover, you ensure that your family can meet these escalating costs without compromising on their lifestyle. This financial cushion helps your loved ones navigate the future confidently, even in challenging economic conditions.

2. Sufficient to Pay Off Liabilities:

A higher sum assured provides adequate funds to clear outstanding liabilities, such as home loans, personal loans, car loans, or credit card debt. In your absence, these obligations can become a significant burden on your family. By choosing substantial coverage, you protect your family from financial stress, ensuring that they can retain their assets and focus on rebuilding their lives without the shadow of unpaid debts.

3. Meets Long-Term Goals:

Life insurance isn't just about covering immediate expenses; it's also about ensuring that your family's long-term dreams and goals are realised. A higher sum assured guarantees that future milestones, such as your children's higher education, wedding expenses, or even funding a business venture, are met without financial hurdles. This foresight allows your loved ones to pursue opportunities and aspirations without hesitation, even in your absence.



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One of the key advantages of opting for a high sum assured term insurance plan is its affordability when purchased at a younger age. Younger policyholders generally enjoy lower premiums due to their lower risk profile and better health. This means you can lock in substantial coverage at a cost-effective rate, ensuring better value over the entire policy term. Investing early in a high sum assured plan allows you to maximise protection while minimising financial outlay.

Choosing a higher sum assured aligns with your commitment to providing robust financial protection for your family, ensuring they remain secure even in your absence. Use our term plan calculator to find out what your family will need in the future. The calculator can also help you understand the term life insurance quotes by showing you the premium you might have to pay for different policy covers.

How to Choose the Right Term Length for Your Term Insurance?

Selecting the ideal term length for your term insurance plan is crucial for ensuring comprehensive protection. Here are detailed factors to consider:

Assess Your Current Age

- **Younger Age Advantage:** Younger policyholders benefit from longer terms at lower premiums. This is a cost-effective way to secure long-term coverage.
- **Example:** A 25-year-old can secure a 40-year term for affordable rates, ensuring coverage until age 65. This approach locks in favourable rates for an extended period.

Align with Financial Milestones

- **Milestone Matching:** Identify milestones like paying off debts, children's education, or retirement to determine the necessary term length. For example, if your youngest child is 5 years old, a 20-year term can ensure financial protection until they graduate.

Evaluate Your Financial Obligations

- **Liability Coverage:** Choose a term that matches your liabilities. For instance, a 15-year term is suitable for a short-term loan, while a 30-year term can cover a long-term mortgage. The best term insurance plan should cater to your specific financial needs.



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Selecting the right term insurance plan requires careful evaluation of your financial goals and family's needs. Here are some tips to help you make the best choice:

1. **Assess Your Coverage Needs:** Calculating the appropriate sum assured is the cornerstone of choosing the right term insurance plan. Consider factors such as your current income, outstanding liabilities (like home loans or personal loans), regular household expenses, and future financial goals, such as funding your children's education, marriage, or even retirement for your spouse. As a general rule, aim for coverage that is at least 10-15 times your annual income. This ensures your family has the financial resources to maintain their standard of living and achieve their aspirations in your absence.
2. **Choose the Right Policy Term:** Selecting the right policy term is equally critical. Your term insurance plan should cover you for the duration of your primary financial responsibilities. For instance, if you're planning to retire at 60, your policy should ideally extend until that age. Similarly, if you have significant liabilities like a home loan, ensure your policy term covers the entire loan tenure. Aligning your coverage period with your financial obligations ensures that your family remains protected when they need it the most.
3. **Compare Premiums:** While affordability is essential, it's important to balance cost with the benefits offered by the plan. Compare premiums from multiple insurers for your desired coverage amount and policy term. Look for a plan that provides maximum benefits, such as riders or flexible payout options, without straining your budget. Keep in mind that opting for a term insurance plan early in life can help you lock in lower premiums.
4. **Look for Customisation Options:** Customisation is key to a comprehensive term insurance plan. Look for plans that offer optional riders to enhance your coverage. For example:
 - **Critical Illness Rider:** Provides financial assistance if you're diagnosed with a life-threatening illness.
 - **Accidental Death Benefit Rider:** Offers an additional payout in case of death due to an accident.
 - **Waiver of Premium Rider:** Ensures your policy remains active even if you're unable to pay premiums due to disability or critical illness. These add-ons allow you to tailor the policy to your specific needs and lifestyle.



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Term plan that enables you to opt for: Consider the following:

- **Lump Sum:** Ideal for immediate financial needs like clearing debts or funding large expenses.
 - **Monthly Income:** Ensures a steady flow of income to cover daily household expenses.
 - **Combination:** Balances immediate and long-term financial needs by offering both lump sum and regular payouts. Flexibility in payouts ensures your family can manage their finances effectively based on their specific circumstances.
7. **Tax Benefits*:** Term insurance plans come with significant tax advantages. Premiums paid are eligible for deductions under Section 80C of the Income Tax Act, 1961, up to ₹1.5 lakh annually. Additionally, the death benefit is usually tax-exempt under Section 10(10D)**, providing both financial protection and tax efficiency. Ensure the plan you choose complies with these provisions for maximum savings.
8. **Read the Fine Print:** Before finalising a term insurance plan, take the time to thoroughly read the policy document. Understand the inclusions, exclusions, waiting periods, and claim settlement process. Pay attention to surrender terms and the flexibility to renew or convert your plan. Seek clarity on any aspect you don't understand by consulting with a financial advisor from ABSLI.

By carefully evaluating these factors, you can select a term insurance plan that provides comprehensive financial protection, aligns with your long-term goals, and ensures peace of mind for you and your family.

What Are the Best Term Insurance Plans in India 2025?

Aditya Birla Sun Life Insurance (ABSLI) offers a range of term insurance plans designed to cater to diverse financial needs. If you are looking for the best term insurance plans in India in 2025, the following options are ideal for your consideration:

1. ABSLI DigiShield Plan:

- **Multiple Plan Options:** Offers 10 distinct plan options, including Level Cover, Increasing Cover, and Whole Life Cover, allowing customisation to your financial goals.
- **Coverage Up to 100 Years:** Provides life cover extending up to 100 years of age.



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- Multiple Plan Options: Includes Life Cover, Life Cover with Return of Premium, Fixed Income Cover, and Increasing Income Cover.
- Inbuilt Terminal Illness Benefit: Provides early payout upon diagnosis of a terminal illness.
- Additional Riders: Option to add riders such as Accidental Death and Disability Rider and Waiver of Premium Rider.

These plans are crafted to offer comprehensive protection, ensuring your loved ones are financially secure in your absence.

What Documents and Eligibility Are Required for a Term Insurance Plan?

Eligibility Criteria:

The basic eligibility criteria for term insurance plans are as follows:

- Minimum Age: 18 years at the time of policy purchase.
- Maximum Age: Generally up to 65 years (varies by insurer and plan).
- Policy Term: Typically ranges from 5 to 40 years or up to a specific age (e.g., 75-100 years).
- Medical Fitness: Depending on the sum assured and age, some plans may require medical tests to assess insurability.

Documents Required:

To apply for a term insurance plan, you'll need to provide the following documents:

1. Identity Proof:

- Aadhaar Card
- PAN Card
- Passport
- Voter ID

2. Address Proof:

- Aadhaar Card



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- Birth Certificate
- Passport
- School Leaving Certificate

4. Income Proof:

- Salary Slips (Last 3 Months)
- Income Tax Returns
- Bank Statements

5. Photographs:

- Recent passport-sized photographs.

6. Medical Records (if applicable):

- Reports from any required medical tests, based on the sum assured or specific plan requirements.

Providing accurate and complete documentation ensures a smooth application process and helps in the prompt issuance of your term insurance policy.

How to Make Term Insurance More Affordable?

Making term life insurance affordable doesn't mean compromising on coverage. Here are practical strategies:

- **Start Early:** Purchase a policy in your 20s or 30s to lock in lower premiums and maximise coverage.
- **Choose Online Plans:** Digital plans often come with reduced operational costs, translating to lower premiums.



7. Term insurance is a type of life insurance policy that provides financial protection to beneficiaries for a specified period or “term.” Unlike whole life or endowment policies, term insurance does not include a savings or investment component, making it a cost-effective option for individuals seeking significant coverage at relatively low premiums. The main objective of term insurance is to offer a death benefit to the policyholder’s family or dependents in case of untimely demise during the policy period, thereby ensuring financial security and helping cover liabilities such as mortgages, education expenses, or everyday living costs.
8. One of the key advantages of term insurance is its simplicity and flexibility. Policyholders can choose the coverage amount and tenure that align with their financial obligations and long-term goals. Many insurers also offer riders or add-ons, such as critical illness cover, waiver of premium, or accidental death benefit, allowing customization of the policy according to individual needs. Additionally, the premiums for term insurance are fixed and typically lower than other types of life insurance, which makes it accessible for young professionals or families seeking to secure income protection without investing large sums upfront.
9. Despite its benefits, term insurance is primarily a risk protection tool and does not accumulate cash value over time. Consequently, once the term expires, the policy ends unless renewed or converted into a different plan where permitted, and no payout is made if the policyholder survives past the coverage period. Due to this characteristic, policyholders should carefully assess the term length to cover critical financial commitments. Overall, term insurance serves as an efficient mechanism to safeguard dependents against financial uncertainty, offering peace of mind by providing a death benefit while keeping the financial outlay manageable.
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Source(s):

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